

INDIAN ECONOMY

LEVEL
II



LECTURES

- COOPERATIVE BANKS
- PRIVATE SECTOR BANKS
- D-SIBs
- NICHE BANKS

MODULE - 25



A GLANCE AT THE COOPERATIVE BANKS ECOSYSTEM!

RURAL COOPERATIVE CREDIT SYSTEM

- State Cooperative Banks at the State level
- Central Cooperative Banks at the District level
- Primary Agricultural Credit Societies (PACS) at the village level



The above structure may vary from State to State.

URBAN COOPERATIVE CREDIT SYSTEM

Primary Cooperative Banks (also referred to as Urban Cooperative Banks) take care of the financial needs of the customers in urban and semi-urban areas.



Primary Agricultural Credit Societies fall outside the purview of the Banking Regulation Act, 1949 and hence are not regulated by the Reserve Bank of India.

COOPERATIVE BANKS ... BASICS ONE SHOULD NOT MISS!



1 Cooperative Banks are registered under the Cooperative Societies Act

2 Banking laws were made applicable to cooperative societies in 1966 through an amendment to the Banking Regulation Act, 1949. Since then banking related functions are regulated by RBI, management related functions are looked at by the respective State Governments/ Central Government.

3 Powers have also been delegated to NABARD to conduct inspection of State and Central Cooperative banks.

4 Many of the prudential norms like CRR, SLR applicable to a commercial bank also apply to cooperative banks.

NORMS STIPULATED BY RBI TO STRENGTHEN URBAN COOPERATIVE BANKS

- 1**
 - The prudential exposure limit to UCBs for a single borrower and a group of connected borrowers will be **10% and 25%** respectively of their **Tier-I capital**, in comparison to existing **15% and 40%**. This is to be complied by March 31, 2023.
 - This is expected to reduce credit concentration risk of the UCBs and promote financial inclusion.
- 2** RBI prescribed that at least **50%** of their loan portfolio should comprise loans that do not exceed **Rs. 25 lakh** per borrower.
- 3** The target for loans and advances to priority sector for UCBs will be increased to **75%** (from the current **40%**). UCBs have to reach 50% priority sector lending target by March 31, 2021 and 60% by March 31, 2022 and 75% by March 31, 2023.



Tier 1 capital is essentially the most perfect form of a bank's capital - the money the bank has stored to keep it functioning through all the risky transactions it performs, such as trading/investing and lending.

NORMS STIPULATED BY RBI TO STRENGTHEN URBAN COOPERATIVE BANKS

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- It is also decided to impose restrictions on Urban Co-operative Banks for deterioration of financial position, in line with the Prompt Corrective Action framework that is imposed on commercial banks.
- This is known as Revised Supervisory Action Framework.
- Urban Co-operative Banks will face restrictions for worsening of three parameters
 - ✓ When net non-performing assets exceed 6% of net advances.
 - ✓ When they incur losses for two consecutive financial years or have accumulated losses on their balance sheets.
 - ✓ If the capital adequacy ratio falls below 9%.

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- Urban Co-operative Banks will now be covered by RBI's large-credit framework of reporting i.e., Central Repository of Information on Large Credits (CRILC), under which banks with assets of Rs. 500 crore or more will have to report large loans extended by them.
- So far, it applied only to commercial banks, financial institutions and certain NBFCs.

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- The RBI has now made it mandatory for UCBs with deposits of Rs. 100 crore and above to seek its approval for the appointment of their CEOs.



WHAT DO YOU KNOW ABOUT NEW AGE PRIVATE SECTOR BANKS?

FIRST ROUND OF PRIVATE SECTOR BANKS LICENCED IN 1990s

- ICICI Bank
- HDFC Bank
- UTI Bank (Axis Bank)
- Global Trust Bank
- Times Bank
- IndusInd Bank

New generation private sector bank licences were issued for the first time in 1993 and some of them are aggressive in lending in recent times.



WHAT HAPPENED SUBSEQUENTLY?

- Global Trust Bank failed because of suspect financial transactions involving the stock market and other sensitive sectors and had to be merged with State-owned Oriental Bank of Commerce.
- Times bank decided to opt out of the game shortly after establishment and merged with HDFC bank.



SECOND ROUND OF LICENCES IN EARLY 2000s

- After 2004, Kotak Mahindra Finance Limited was converted itself into a bank.
- Yes Bank was also granted a licence. However, a few years ago, it turned insolvent requiring a large infusion of capital by the State Bank of India.



THIRD ROUND OF LICENCES IN RECENT TIMES

- Licences were given to IDFC Bank and Bandhan Bank.
- RBI has further issued guidelines for 'on tap' licencing of Universal Banks in the Private Sector in 2016 for granting licences on a continuous basis.



RBI SAYS THAT ITS POWERS ARE INSUFFICIENT TO REGULATE PUBLIC SECTOR BANKS!

PUBLIC SECTOR BANKS ARE ESTABLISHED THROUGH PARLIAMENTARY STATUTES, WHICH LIMITS RBI POWERS!

- Section 5(c) of the Banking Regulation Act, 1949 defines a banking company as “any company”, which transacts the business of banking in India.
- PSBs are not companies, but they are corporations formed by statutes like Bank Nationalisation Act of 1970/ 1980.
- As they are not “banking companies”, Banking Regulation Act does not apply to them in full.

SOME POWERS UNDER BR ACT ARE APPLICABLE TO ONLY PRIVATE BANKS!

- RBI further said that it has some important powers under the BR Act, which apply only to Private Sector Banks, but not to Public Sector Banks.
- In a Public Sector Bank, the RBI can neither remove nor appoint a CMD or a whole-time director. It can neither grant licences nor impose conditions.
- RBI also has no powers to call a meeting of Bank Directors, depute officers for Board meetings or appoint observers.

BUT, THE GOVERNMENT COUNTERS THE ARGUMENT OF RBI!



- Powers of RBI are “wide-ranging and comprehensive” to deal with various situations. RBI has powers to inspect the bank and its book of accounts. It has a nominee member on the Board of State-run banks.
- RBI is also a part of the Committee within the Board, that approves large loans. It can appoint Additional Directors on the Banks’ Boards. Besides, the whole-time Directors are appointed in consultation with RBI.
- RBI has a repository for all large credit exposures as well as a Central Fraud Registry, where banks report all frauds above Rs. 1 lakh.
- It also has wide-ranging powers under the Foreign Exchange Management Act.

THE CONCEPT OF DOMESTIC SYSTEMICALLY IMPORTANT BANKS



The NBFCs, whose asset size is of Rs. 500 cr or more, as per last audited balance sheet, are considered as systemically important NBFCs.

- The recognition as D-SIB implies that the banks are too big to fail. The inclusion in D-SIB implies that the failure of these banks would have a cascading effect on the Indian financial system.
- They are kept in appropriate buckets for additional capital adequacy depending upon their Systemic Importance Scores.
- Inclusion in the list gives additional comfort to the investors that these banks won't be allowed to fail and therefore, borrowing costs of these banks from the markets can be cheaper than their peers.

Similarly, IRDAI identified certain insurance companies as domestic systemically important insurers and they will be subjected to enhanced regulatory supervision.

DIFFERENTIATED BANKS / NICHE BANKS ... PHENOMENA OF THE RECENT DECADE!

SMALL FINANCE BANKS

- Existing NBFCs, MFIs, Local Area Banks and Payments Banks can be converted to Small Finance Banks, and the capital requirement is Rs. 200 Crores.
- RBI is also nudging the Urban Cooperative banks towards conversion to SFBs.
- 75% of the loans should be given to the priority sector. At least 50% of its loan portfolio should constitute loans and advances of up to Rs. 25 lakh.



PAYMENTS BANKS

- The payments banks experiment is considered a failure due to the faulty business model.
- They have to deposit 75% of their deposits in Government Securities due to which they are facing headwinds. They also cannot lend.
- If they reduce the interest rates on the deposits, depositors may not come to them. Hence, we can say that there is structural fault in the mechanism of Payments Banks.



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